



# The impact of agricultural liberalisation on food security in Malawi

Wycliffe Chilowa

*Centre for Social Research, University of Malawi, PO Box 278, Zomba, Malawi*

The donor-supported structural adjustment programmes have not impacted favourably on livelihoods, food security and the general welfare of the poor in Malawi. This resulted from the prescription of wrong policy packages and limited attention to poverty alleviation policies. Policies have tended to concentrate on promoting market and price mechanisms, less on addressing production constraints and non-economic barriers to broad-based economic growth. There are losers and winners as a result of policy reforms in agricultural produce marketing. The losers are mainly the smallholder farmers in the category of net food buyers, low-income or wage earners in urban and semi-urban areas and smallholder farmers in remote areas. The winners are smallholder farmers in the category of net food sellers, private traders, institutional traders and the state marketing agency. The paper analyses the impact of pricing policy and market deregulation on the state marketing organisation and on the private marketing system, highlighting the lessons to be learned, and making recommendations on how to improve the food security situation at the household level. © 1999 Elsevier Science Ltd. All rights reserved.

Keywords: Malawi, food security, agricultural liberalisation, structural adjustment programmes

## Introduction

The Malawi economy is largely dominated by the agricultural sector in terms of output, foreign exchange earnings and employment. The sector accounts for about 35% of gross domestic product (GDP), more than 90% of the country's foreign exchange earnings and provides paid and self-employment to 92% of the population which is rural.

The agricultural sector is divided into two main sub-sectors: the smallholder and the estate sectors. The smallholder sector contributes about 70% of agricultural production. It produces a greater proportion of food products, while the estate sector mainly produces cash crops. It is further categorised into three groups by type of farmers: net food sellers, intermediate farmers and net food buyers.<sup>1</sup> The net food sellers are those with land holding of more than 1.5 ha and who produce more than their subsistence needs. The intermediate farmers are those with land holdings of between 0.7 and 1.5 ha who produce just enough for their survival but have very little for sale. The net food buyers are those smallholder farmers with land holdings of less than 0.7 ha who are not able to produce enough food for their subsistence needs. It is

---

<sup>1</sup>This is based on the Malawi government classification of the smallholder agricultural sector.

estimated that between 40 and 55% of the smallholder farmers are net food buyers. Agricultural policies will affect different categories in different ways, with net food buyers losing and net food sellers gaining as a result of increases in the prices of food crops (Chilowa and Chirwa, 1997).

Due to the importance of the smallholder agricultural sector, both the colonial and the post-independence governments were interested in ensuring proper marketing of their produce. Marketing of smallholder agricultural produce and inputs has largely been in the hands of state-owned enterprises. However, within World Bank/International Monetary Fund (IMF) sponsored Structural Adjustment Programmes (SAPs) which Malawi has been implementing since 1981, several institutional and policy changes in the agricultural sector in general, and in food marketing in particular, have taken place. The role of private traders has been clearly defined with most institutional barriers to their entry and operation eliminated. Notably, legislation governing the *modus operandi* of private traders in the purchase and sale of agricultural produce including food was introduced; there has been periodic adjustments in agricultural produce prices; restructuring and divestiture of the state marketing corporation; and liberalisation of export trade.

The performance of the Malawi economy after independence in 1964 until the late 1970s was relatively encouraging, registering high growth rates in economic activities and favourable balance of payments. After the oil shock of 1979 and the intensification of the Mozambican civil war, economic growth in 1980 was negative for the first time since independence and there was a slack in the productivity of the estate-led agricultural sector. The economic difficulties of 1979 and 1980, led the government to adopt and implement IMF sponsored stabilisation programmes and World Bank sponsored Structural Adjustment Programmes (SAPs). Since then, the economy has gone through turbulent times without a clear trend of the long-term growth course. Within the region, Malawi was the first country to adopt SAPs and has pursued these policies for a fairly long period, yet the benefits are minimal and uncertain while the social costs, especially the effects on the poor and resource constrained women and children, are enormous and evident.

Malawi is one of the poorest countries in the world. In 1994, nominal per capita income was estimated at US\$140 and Malawi is ranked the 157th country out of 174 countries in terms of human development (UNDP, 1996). The 1997 UNDP's Human Development Report ranks Malawi 161 out of 175 countries. Rapid population growth and a narrow resource base are among the most serious challenges facing Malawi's economy.

At independence (1964) the Malawi government identified increased agricultural production as one of its major development objectives. However, the focus was on national food security. Most years there appeared to be a commercial surplus of maize as reflected by the Agricultural Development and Marketing Corporation (ADMARC). Both the government and donor agencies officials were convinced that food insecurity was not a problem in Malawi. Until the mid-1980s, talk of food shortages was more or less a taboo, and worse still, at times it was looked at as subversion. After the Principal Secretary's Symposium on 'Nutrition and Development' held in August 1986, and the drought of 1987, the situation began to change. This led to the formulation of the Food and Nutrition Policy statement in 1990.

A point worth mentioning is Malawi's view of what constitutes food security. Since the majority of Malawians have maize as their staple food, food security at the national level has meant production of enough maize. All efforts in increasing food production have gone towards the promotion of increased maize production. Although maize is taken together with a side dish

like beans, pulses, vegetables and livestock products, these seldom come into the discussions on food security in Malawi.

## Government policy responses

The Malawi government has adopted a number of policies related to food security and nutrition and livelihoods as shown in Table 1.

## The pre-liberalisation position

State intervention in the marketing of agricultural crops in Malawi dates from the colonial era with the establishment of the Native Tobacco Board in 1926 to control tobacco production. In 1938 the Board had adopted the role of buying tobacco from smallholder farmers and selling it at Auction Floors. In 1948 a price stabilisation fund was established and by 1950 the Board

**Table 1 Government actions to improve food security and health**

| Policy                                                                                        | Year       | Status            |
|-----------------------------------------------------------------------------------------------|------------|-------------------|
| Food Security and Nutrition Policy Statement (FSNPS)                                          | 1990       | Approved          |
| Malawi Plan of Action for Nutrition (NPAN)                                                    | 1995       | Draft             |
| Poverty Alleviation Programme (PAP)                                                           | 1995       | Approved          |
| The Agricultural and Livestock Development Strategy and Action Plan                           | 1995       | Approved          |
| The National Health Plan of Malawi 1986-1995                                                  | 1996       | Approved          |
| The Health Policy Framework                                                                   | 1994       | Approved          |
| Malawi National Family Planning Strategy                                                      | 1994       | Approved          |
| Malawi National Population Policy                                                             | 1993       | Approved          |
| Policy and Strategy Matrix for Primary Education 1995-2005                                    | 1995       | Approved          |
| National Environmental Action Plan                                                            | 1994       | Approved          |
| Malawi Environmental Support Programme                                                        | 1996       | Approved          |
| National Plan of Action for the Survival, Protection and Development of Children in the 1990s | 1994       | Approved          |
| Policy and Plan of Action for Women in Development                                            | 1994       | Approved          |
| Malawi Vision 2020                                                                            | 1996       | Draft             |
| Forestry Policy                                                                               | 1996       | Draft             |
| Structural Adjustment Policies (Macroeconomic Policies)                                       | Since 1981 | On-going          |
| Malawi Agriculture and Irrigation Sector Investment Programme (MAISIP)                        | 1997       | Under formulation |
| Sustainable Livelihoods and Food security Programme (SLFSP)                                   | 1997       | Under formulation |

Source: Chilowa and Villegas (1997).

started selling farm inputs, particularly fertiliser, to growers at subsidised prices. In 1952, the Native Tobacco Board was superseded by the African Tobacco Board.

Motivated by concern about the availability and price of food, in 1949 the government created two more statutory bodies: the Maize Control Board and the Cotton Control Board, providing marketing services to maize producers and cotton growers, respectively. In 1956, the African Tobacco Board, the Maize Control Board and the Cotton Control Board were incorporated into the Agricultural Production and Marketing Board. The Board was given the task of providing a stable and efficient marketing system for the main cash crops produced on trust lands. The official policy was to pay growers a price that provided a 'reasonable return'. However, in 1957 the policy stance changed and the government implemented minimum uniform pre-planting prices.

After the general elections in 1961, the Board was superseded by the Farmers' Marketing Board in 1962. The functions of the new board were more extensive than its predecessors. The Farmers' Marketing Board was responsible for marketing, processing, and disposing of agricultural products; providing adequate price stability in order to protect farmers from world price fluctuations and increased agricultural output; providing storage facilities for food reserves on behalf of the government, and subsidising inputs to increase yields (Kandoole *et al.*, 1988). In 1971, the Agricultural Development and Marketing Corporation (ADMARC) replaced the Farmers' Marketing Board. Its principal mandate of marketing agriculture inputs and output was to support the government's commercialisation efforts in the agricultural sector. The corporation has three broad mandates:

- (1) to promote the economic interests of Malawi by increasing the volume of export crops and improving the standards of the Republic's agricultural produce;
- (2) to promote and maintain an efficient system of supplying the agricultural requirements of persons farming on customary land; and
- (3) to maintain and improve a profitable marketing system for agricultural produce, and to promote the consumption of such produce abroad and at home.

It is clear that ADMARC was originally established to foster the development of the agricultural sector by offering marketing services to smallholder farmers. However, as indicated in ADMARC (1974), its mandate broadened to include establishment and development of agro-industry enterprises which fully exploit the agricultural potential of the country. ADMARC was able to assume this role by investing the surplus reaped from the trading activities into various sectors of the economy including estates (Harrigan, 1991). Although ADMARC had monopsonist powers only in the purchase of cotton and tobacco from smallholder farmers, this seems to have expanded informally to many other agricultural products that were supposed to be freely traded.

Agricultural produce marketing, more especially food marketing, in Malawi has always been dominated by private traders. As noted by Kandoole *et al.* (1988), although statements of the marketing board objectives give the impression that they are monopsonists in maize marketing, data suggest that ADMARC often handled a small proportion of traded maize surplus. For instance, ADMARC accounted for 6% and 13% of the traded surplus maize in 1970 and 1975, respectively. The rest of the maize surplus was handled by private traders (licensed or otherwise) in various market places, including farm-gate, local markets, district council markets and the urban markets. Rules had been established restricting the activities of large and non-African traders, including upper limits on quantities of produce a single trader may purchase. Most food crops were under marketing control and required one to obtain a license to conduct

trade.<sup>2</sup> Prices for all food crops under control were officially determined by the government. Moreover, a separate license was required in respect of the right to purchase each separate class of produce.

The co-existence of the private and state market segments facilitated the marketing of agricultural crops in Malawi since independence until the late 1970s. The informal private trading system complemented activities of the state marketing agency. Government was at the centre of pricing policy for smallholder agriculture, using pan-seasonal and pan-territorial official commodity prices administered by ADMARC. These prices were adjusted and announced before the beginning of the growing season. In essence, price intervention in the agriculture sector took the form of setting producer floor prices and maximum consumer prices for officially traded crops of the smallholder agricultural sector. In addition, prices of inputs were pan-territorial and these were officially set by the government.

Marketing of smallholder agricultural inputs was also monopolised by ADMARC until 1990. Prices of inputs were heavily subsidised, prior to deregulation. Crop marketing liberalisation was preceded by the liberalisation of input marketing, with a 3-year lag period. Fertiliser imports for smallholder use were monopolised by the Smallholder Fertiliser Revolving Fund of Malawi (SFRFM) and the production of hybrid maize seed was under the National Seed Company of Malawi (an ADMARC subsidiary company). Msukwa (1994) argues that under these regulatory constraints both fertilisers and seeds were in short supply and these inputs were usually rationed through the credit system.

### **The collapse of state marketing activities**

The state marketing activities started to deteriorate in the late 1970s. Scarborough (1990) states that until the late 1970s and early 1980s, ADMARC provided assured and reliable markets for smallholder output; paid farmers cash on delivery; provided credit for and subsidised the cost of inputs to members of farmers' clubs; stabilised prices seasonally and annually; paid maize producers higher than export parity prices; and probably subsidised the consumption of maize and rice.<sup>3</sup> The operations of ADMARC's marketing activities in the 1970s were very favourable with most of the crop trading accounts recording favourable surpluses and better export prices for most crops. According to Harrigan (1991), ADMARC had built up large surpluses in the 1970s through its export trading activities which originated from the implicit tax on smallholder farmers. These surpluses supported the expansion and diversification of ADMARC into loan and equity investments in various sectors of the economy. Between 1971 and 1979 ADMARC extracted about MK 181.9 million from the smallholder sector, of which 14% was used to cross-subsidise smallholder food production and consumption (maize and rice), the remainder being used for investments and loans, only 4.3% of which was related to the development of smallholder agriculture (Kydd and Christiansen, 1982).

Many macro and micro economic problems developed in Malawi in 1979 through to 1981. This was a period of economic crisis in Malawi.<sup>4</sup> For the first time, the impressive economic

---

<sup>2</sup>The following crops were under price control and trader licensing requirement: burley, beeswax, black gram, bulrush millet, Canadian wonder beans, capsicums (dried), cashew nuts, cassava, castor, chilies (dried), chick peas, delicious beans, dried peas, green gram, groundnuts, honey, macadamia nuts, maize, mixed beans, paddy rice, pigeon peas, sesame, sorghum, soya beans, sugar beans, wheat and white haricot beans.

<sup>3</sup>However, Harrigan (1988) observed that prices paid by ADMARC for smallholder tobacco, cotton and groundnuts were well below export-parity levels throughout the 1970s.

<sup>4</sup>Kaluwa *et al.* (1992) discussed the origins and making of this crisis.

performance of the economy of the 1970s deteriorated. Negative growth rates were recorded in 1980 and 1981. Malawi is a land-locked country. The closure in 1979 of the Beira route to the Indian Ocean as a result of the intensification of the Civil War in Mozambique was a major blow. The economic crisis was characterised by deteriorating terms of trade, transport bottlenecks, rising costs of fuel, adverse weather conditions and weakening internal demand. Furthermore, structural weaknesses included an inefficient production sector resulting from price controls; poor performance of smallholder agriculture due to large-scale estates; inadequate funding of principal sectoral activities such as agriculture; inefficiencies of most parastatals due to unsystematic and wasteful investment; emphasis on a few agricultural commodities which are subject to wide fluctuations in international prices, and overvalued exchange rates (Chilowa and Chirwa, 1997).

The illiquid nature of ADMARC's investments, its increasing number of employees and its operational inflexibility led to the weakening of its capacity to sustain the quality of its marketing activities (Scarborough, 1990). External factors that affected ADMARC's performance in the early 1980s included deteriorating prices for the country's exports; change in government pricing policies, adverse weather conditions; a directive to establish and manage a strategic grain reserve; increasing external transport costs and finance costs. Moreover, the government used ADMARC marketing activities as instruments of implementing and enforcing price policy in the agricultural sector and the wage-earning sector, particularly for maize.<sup>5</sup> The maize price policy included provision of incentives for smallholder farmers to produce more maize to meet domestic demand, ensuring a steady cash income for smallholder farmers, diversification of agricultural production, maintaining an adequate return to ADMARC's operations and ensuring that there is no reduction in the nominal price of maize (Kandoole *et al.*, 1988). On the other hand, the objective of the maize consumer price policy was to enable wage earners to consistently purchase enough maize for a calorie-adequate diet. Kandoole *et al.* (1988) and Harrigan (1988) noted that there were conflicts among these policy objectives. These conflicts resulted in several changes in maize pricing policy. Nonetheless, Kaluwa (1992) argued that the twin objectives of raising producer prices as an incentive to produce while maintaining consumer prices at 'reasonable' levels have resulted in a serious threat to ADMARC's financial viability.

Between 1970 and 1978, the financial performance of ADMARC's crop trading account was impressive. However, profitability started to deteriorate from 1979 onwards. For the first time, a loss of about K 18 million was registered in 1986. This was followed by a loss of similar magnitude in 1987. Thereafter, the financial performance of the crop trading account improved but started deteriorating again in 1992. Cash crops were heavily cross-subsidising trading activities in the major staple foods – maize and rice. Trading accounts for maize and rice had been recording losses since 1976. These losses were substantial in the case of maize.

Several factors contributed to the deteriorating performance of the state marketing agency. First, the persistent losses on food crop trading are a direct result of an inefficient pricing policy driven by food security concerns. For instance, between 1967 and 1969 the gross margin between producer and consumer was 100% of the producer price. However, the consumer price was kept constant between 1970 and 1972 while the producer price was raised and the gross margin reduced to only 33.33% of the producer price. In 1973 and 1974 the gross margin was increased to 65% of the producer price. Between 1975 and 1977, the gross margin fell to 32% of the producer price and went as low as 14% in 1985. It is interesting to note that

---

<sup>5</sup>Kandoole *et al.* (1988) and Harrigan (1988) elaborated on the pricing and storage policies that were supposed to be achieved, and the resultant conflicts.

although pan-territorial prices were set for maize, higher prices were obtained in the free market system. It is possible that because of the price differences, ADMARC's maize purchases from smallholder farmers might have been a small proportion of marketed maize output. Another observation is that the quantity of maize purchases from smallholder farmers dropped from 120,300 metric tonnes in 1979 to 82,400 metric tonnes in 1980. However, between 1982 and 1983 maize purchases from smallholder farmers increased by 80%. Kandoole *et al.* (1988) attributed this to price response. In 1982, the government actually increased the producer price for maize by 66%. This had the effect of sharply increasing smallholder sales of maize to ADMARC.

Second, the declining role of ADMARC in the marketing of smallholder crops was a result of ADMARC's expansion in portfolio investments. This meant a gradual shift from specialisation in crop marketing services towards a holding corporation. Since 1971, when ADMARC's mandate was broadened, ADMARC invested in portfolios which were not related to the development of the agriculture sector. This diverted financial and managerial resources from crop marketing activities. As argued by Kydd and Hewitt (1986), much of ADMARC's 1970s profit from implicit taxes on smallholder production was filtered out of the smallholder sector into estate agriculture and the manufacturing sector. It turned out that these portfolio investments generated very little return for ADMARC.

Third, the government in 1981 built a strategic grain reserve, which was managed by ADMARC. Amidst an economic crisis, the strategic grain reserve was costly as it did not bring immediate returns to ADMARC and with the producer price increase in 1982, ADMARC's procurement to maintain the grain reserve increased substantially.

Finally, ADMARC as the principal outlet for farm inputs to smallholder farmers had been subsidising inputs, such as seeds and fertilisers, by selling them at prices below the purchase price plus transport and handling costs. The aim of the subsidy was to improve the adoption of technology by smallholder farmers in the production of maize in the form of application of fertiliser and use of hybrid maize. With increasing transport costs and import prices, these subsidies were a drain on ADMARC's resources. The burden of subsidies took different forms. According to Harrigan (1988) part of ADMARC's profit in the 1970s was also used to finance ADMARC's developmental role in the smallholder sector such as subsidising an extensive network of markets and employment, defending pan-territorial prices for producer goods and inputs, cross-subsidising certain producer prices such as for maize and rice, and defending the subsidised consumer price of maize.

## **The liberalisation process**

In the 1980s, ADMARC was faced with the demand from the World Bank that producer prices be substantially increased for maize and major export crops, without being relieved of the burden of developmental activities, financing and management of grain reserves and defending consumer prices. This financial drain was exacerbated by the adverse international environment via deteriorating terms of trade and increasing transport costs caused by the civil war in Mozambique.

Structural adjustment programmes were designed to alter the structure of production and reduce the dependence of the economy on the agricultural sector while aiming at efficient production in the agricultural sector. Since the adoption of the structural adjustment programme several policy reforms have been implemented in the agriculture sector. These have included periodic adjustments and liberalisation of producer prices, liberalisation of input marketing,



elimination of fertiliser subsidies, deregulation of agricultural produce marketing activities, decontrol of prices of agricultural inputs and deregulation of smallholder burley tobacco production.

According to Harrigan (1991), preparatory work for the first Structural Adjustment Loan (SAL) identified six structural weaknesses in the economy; the slow growth of smallholder exports; the narrowness of the export base and increased reliance on tobacco; dependence on imported fuel and on a declining stock of fuel-wood; the rapid deterioration of parastatal finances; the increasing budget deficits; and the inflexible system of government-administered prices and wages.

The World Bank and IMF believed that price signals were the best incentives for the promotion of smallholder export crops. In effect, two strategies were envisaged. First, in the short term, periodic price adjustments of smallholder crop prices provided an interim solution. Second, introduction of competition by allowing more players in the marketing of smallholder crops would provide a long-term solution. These price incentive strategies were based on the assumption that smallholder farmers would respond to price signals to expand their production and to improve their productivity within a land constrained environment.

The precise sequencing of reform measures in the agricultural sector mismatched policies. Harrigan (1988) argued that poor sequencing was evident in the removal of subsidies on inputs in advance of increases in maize producer price, and in the liberalisation of export crop prices via parity pricing in advance of market liberalisation. In any case, four distinct key areas of reform can be identified within the structural adjustment programmes.

#### *Deregulation of marketing activities*

Marketing of smallholder agriculture crops was deregulated in 1987 by an Act of Parliament. The act essentially eliminated ADMARC's quasi-monopsony power in smallholder agriculture marketing in the domestic market. Private traders in a liberalised market system had to comply with the following conditions:

- private traders were to be licensed annually to operate in specific markets;
- only Malawi nationals or business owned by Malawian citizens were to be eligible for licenses;<sup>6</sup>
- minimum producer prices were announced annually and ADMARC would buy at these prices;
- maize exports were controlled through the export licensing system; and
- traders were to submit monthly reports detailing prices paid and received, and amounts bought and sold.

There were no significant barriers to entry in the marketing of smallholder crops with the new legislation, except restrictions placed on foreigners. The licensing procedure was very decentralised. Each Agriculture Development Division (ADD) was responsible for issuing licenses to private traders operating in that area, after satisfying additional conditions such as possession of a proper weighing instrument. This decentralisation minimised the red-tape in the licensing process. The liberalisation of produce marketing attracted many traders especially in the year following liberalisation: 917 in 1988/89 and 543 in 1989/90. These fluctuations reflect the relative ease of entry and exit.

---

<sup>6</sup>This was in line with the restriction of Asian and European traders in retail and wholesale businesses in rural areas affected by the amendment of the *Business Licensing Act* in 1975.



The rules of the game resulted in most of the traders licensed being small scale operators, which effectively reduced market dominance by a few large foreign owned corporations. This, however, had implications for private traders' efficiency and effectiveness in smallholder crop marketing. ADMARC, although buying at regulated prices, remained a dominant single buyer of agricultural produce, enjoying first mover advantages.

Liberalisation of marketing and production inputs was implemented in 1990 under the implementation of the Agriculture Sector Adjustment Credit (ASAC). Since then, there has been some entry by private traders, of varying size in terms of scale of operations, in the marketing of farm inputs. Similarly, the number of firms producing and marketing crop seeds has increased, following the privatisation of National Seed Company in 1991. The production and marketing of seeds was only liberalised in 1993.

### *Agricultural output and input pricing*

Pricing of smallholder agriculture crops and inputs was basically determined by the government's objective of achieving a marketed surplus of maize, rather than by the World Bank's desire to see considerable increases in the producer price of smallholder export crops (Kydd and Hewitt, 1986). Indeed, active price adjustments in producer and consumer prices of smallholder crops began in the early 1980s following structural adjustment programmes, in particular during the implementation of SAL II. Since 1982/83, the government began to incorporate more economic criteria into the determination of prices for smallholder crops and inputs. The International Development Association (IDA) parity pricing was adopted such that the producer price of maize was increased by 68% in 1982. According to Harrigan (1988), considerable price increases for a majority of smallholder export crops were announced in 1983/84 and 1984/85 growing seasons, such that by 1985/86 prices were close to parity levels.

By 1996 marketing liberalisation of smallholder crops and inputs was almost completed. There was full liberalisation of crop and input marketing by removing licensing procedures. Prices of all other crops, except for maize were fully liberalised. In order to promote food security, the price of maize was still under limited control especially with respect to state marketing activities. However, the fixed producer pan-territorial and pan-seasonal price system was replaced with a price band. Nevertheless, the consumer price of maize offered by ADMARC is still pan-territorial and pan-seasonal. ADMARC was entrusted to defend the price band. It is interesting to note that ADMARC is free to determine the producer price of maize, which varies across markets and seasons, within the price band.

### *Fostering private marketing*

Some measures were put in place to foster private marketing. First, the Ministry of Agriculture provided training to some of the private traders in produce marketing, financial management and book-keeping. About 1097 private traders from various Agriculture Development Divisions were trained between 1989/90 and 1992/93. Second, the World Bank in 1993 provided a loan to the government through the Small Enterprise Development Organisation in Malawi (SEDOM) to extend lines of credit to private traders.

There has also been uncertainty on the government policy direction in the liberalisation of marketing activities. According to Msukwa (1994), the government had intermittently imposed embargoes on private participation in trading of certain crops. For instance, in 1988 private traders were not allowed to participate in bean marketing and intermittently in groundnuts marketing between 1990 and 1993. Such restrictions created some level of uncertainty and retarded the development of the private sector in the marketing of smallholder agriculture crops.

Under the Fiscal Restructuring and Deregulation Programme (FRDP) implemented in 1996, one of the objectives was related to the promotion of private sector marketing activities. Thus, the FRDP also aimed at complete removal of pricing and marketing constraints on smallholder agriculture. During this period, there was complete removal of licensing and registration procedures for private traders in seed and fertiliser marketing.

### *Restructuring of the state marketing agency*

Restructuring of ADMARC started in 1984 under SAL II. This restructuring has taken the form of asset swaps among ADMARC, Press Corporation and Malawi Development Corporation (MDC), divestiture of assets and privatisation of subsidiary companies. In 1984, the government embarked on rationalisation of activities in its holding companies through portfolio swaps among Press Corporation, MDC and ADMARC. These swaps were necessary to align portfolio holdings with the objectives of these corporations: with ADMARC specialising in agricultural oriented activities; MDC putting emphasis on industrial and service sectors; and the Press Corporation having a heterogenous portfolio. For ADMARC, this was a move to re-orient the corporation towards its agricultural marketing activities.

Under SAL III and its supplement in 1986 and 1987, a major divestiture programme of ADMARC's investments unrelated to its marketing activities was implemented. In 1987/88 the divestiture exercise targeted industrial activities where ADMARC was a minority shareholder and most of its share holding was sold to existing shareholders with pre-emptive rights. In addition, three estates which were wholly owned by ADMARC were sold to the Press Corporation and the Commonwealth Development Corporation. In 1989/90, the emphasis was on small estates which were mainly sold to Malawian farmers. Between 1991 and 1993, large industrial portfolios were divested, with ADMARC retaining minority share holding.

Before liberalisation, and with the support of the government, ADMARC established an extensive marketing networking in the rural areas. It is reported that ADMARC operated in 1200 markets by 1987. Due to liberalisation of smallholder agriculture crop trading in 1987, ADMARC rationalised its marketing activities, closing down markets that were unable to attain an annual throughput of 60 tonnes. About 125 markets (15%) were closed on the basis of output criteria by 1988.<sup>7</sup> Unfortunately, this rationalisation affected markets which were mainly in remote areas, inaccessible to private traders. According to Christiansen and Stackhouse (1989) ADMARC closed about 125 markets on the basis of marketed volume although about 75% of smallholder farmers were still within 8 km of ADMARC markets. Although liberalisation of marketing of agricultural produce has introduced more players, the private traders have not effectively taken up the challenge. Many private traders face transport, storage, grading, crop procurement, marketing and financial constraints. This resulted in smallholder farmers not always being able to access traders. A liberalised market alone is therefore not sufficient for the attainment of household food security. In order to provide the necessary conditions for price stabilisation and food security, ADMARC needs to continue its role of marketing smallholder crops as well as that of buyer of last resort, obviously with the government's assistance.

### **Impact of liberalisation**

In 1981/82, there was a 67% increase in the producer price of maize, resulting in a substantial increase in maize production. Although this did ensure self-sufficiency in food for the country

---

<sup>7</sup>See Msukwa (1994) and Kaluwa *et al.* (1992).

as a whole, it did not ensure food security at the household level for everyone and the effects largely depended on the class of smallholders. In theory net buyers could increase production, and perhaps become self-sufficient in food, but this could only happen if land and labour were readily available for this expansion. Since land is a scarce resource in Malawi, it is reasonable to assume that the net buyers will remain so after the price increase, and will end up seeking more wage employment either as labourers on estates, or for those with larger holdings. According to Chilowa (1990), agricultural labourers are the most food insecure. Nyanda (1989) pointed out that remuneration for estate labourers is below the legislated minimum wage; hence, this group lives in marginal poverty. The effect of the price increase in this case may be a decline in welfare and nutritional status. Increasing the prices of non-food crops will not help them either, except perhaps if they shifted to the use of improved maize technology, but then the land scarcity problem makes this prospect untenable.

Subsidy removal on agricultural inputs affects different farm families differently depending on the amount of fertiliser they use. Those who use more will be affected more than those using less. Malawi's high fertiliser prices are mainly due to high transportation costs as well as the frequent exchange rate adjustments, hence, the argument for government subsidy. It transpired then that after 2 years of phased subsidy removal in 1987, the Malawian fertiliser price/official maize price ratio was still one of the highest in the developing world. As a result of growing national food security concerns and the increasing influx of Mozambican refugees, the government withdrew from the subsidy removal agreement and resumed subsidising smallholder fertiliser by about 25% (Lele, 1987).

### **Welfare implications of the private marketing system**

We ask the question whether there have been welfare gains and losses as a result of marketing liberalisation: who are the losers and winners? From a welfare point of view, different categories in the marketing system have been affected differently with agricultural produce marketing liberalisation. There are losers and winners as a result of policy reforms. The losers, as we have pointed out above, are mainly the smallholder farmers in the category of net food buyers, low-income or wage earners in urban and semi-urban areas and smallholder farmers in remote areas.

Furthermore, according to the Ministry of Economic and Development Planning (MEPD, 1995), food insecurity of rural households, who are maize deficit even in normal years, have been worsened by the high and unpredictable consumer and producer prices which are supposedly to operate within a price band ranging from K 1.25 to 2.50 per kilogram in the 1995/96 season. The price band was adjusted upwards to the price range of K 1.55 to 3.25 in the 1996/97 season. In most cases, the consumer price asked by private traders has been more than the official consumer price of maize.

The winners are smallholder farmers who are net food sellers, private traders, institutional traders and the state marketing agency. This group has benefited from seasonal price variations. But not all net sellers have benefited from the food marketing liberalisation. For instance, the private traders have a tendency of purchasing produce from smallholder farmers before ADMARC markets open. This enables private traders to offer low prices for their purchases, taking advantage of the cash squeeze faced by smallholder farmers. In some cases, the private traders purchase these products without weighing and tend to benefit from overweight of the produce.

Liberalisation of marketing activities has also led to the development of other subsistence

crops into marketed crops. For instance, cassava has developed substantially as a marketed food crop. The price incentives offered by the private trading system have created opportunities for smallholder farmers to diversify both food and cash crops.

### **Traders' response to marketing liberalisation**

The response of private traders to liberalisation of agricultural produce marketing was somehow weak in the first year of liberalisation. In 1988, only 387 private traders were licensed. The number of licensed private traders increased to 948 in 1989, representing an increase of about 145%. This increase was short-lived, with a decline of 43% in the number of licensed traders in 1990. Since then, there has been a declining trend in the number of licensed private traders (Chirwa, 1997a). This declining trend in the number of private traders may imply two things: the interest in private trading has been declining and/or the regulatory rules did not effectively capture all private traders. The former is unlikely, therefore it suggests that many traders were trading without a license.

According to surveys by Mkwezalamba (1989) and Kaluwa (1992), most traders are small scale sole proprietors and rural based enterprises with trade being dominated by maize and beans, although there is a high incidence of diversification in terms of number of crops marketed by private traders. Kaluwa (1992) argued that such diversification cushioned private traders from adverse effects of a food marketing pricing policy primarily focused on maize. Latest estimates of the Ministry of Agriculture and Livestock Development indicate that about 60% of traders in maize are small scale enterprises while 25% are medium scale enterprises.

### **Supply response of smallholder farmers**

Liberalisation of agricultural produce marketing was expected to provide an incentive to smallholder farmers to increase production of agricultural output. However, it is difficult to separate the price effect from other factors such as good weather conditions. For instance, within the liberalisation period Malawi has experienced drought in 1991/92 and 1993/94 seasons and this has impaired the price effect. Prices of key crops have been increasing, but the overall supply has been adversely affected by poor weather conditions. Nonetheless, Chirwa (1997a) observed a positive relationship between price developments and agricultural production in the non-drought seasons. There has been a steady increase in domestic food supply (except in drought seasons), although such production falls short of the domestic food requirements. For instance, in 1995 the estimated maize requirement was 1.8 million tonnes but only 1.3 million tonnes of maize and 1.7 million tonnes of overall food crops were produced. Msukwa (1994) argues that since the 1985/86 season, the gap between maize production and total maize requirement has been worsening while population growth has been increasing, and the country has moved from a situation of national self-sufficiency in maize production to substantial food deficits.

### **Efficiency and integration of the private marketing system**

An efficient or fully integrated market system should be in a position to eliminate arbitrage opportunities that arise because of seasonality and spatial distribution of production activities. Mellor (1966) argued that spatial price variations create arbitrage opportunities and are a possible source of profit to private traders. However, the relative profitability of these arbitrage opportunities depends on the cost of transporting produce from the source or low price market

to the high price market and the availability of information relating to the price differentials. The other source of profitability is the seasonal price variation, which implies that private traders have to hoard produce and sell at a later date. Similarly, the relative profitability of seasonal arbitrage depends on the cost of storage (Jones, 1996). The data on consumer prices reveal that there are large spatial and seasonal price variations in most key crops (Chirwa, 1997a).

### **Constraints, problems and issues in the private marketing system**

Private traders face constraints related to the availability and cost of transport, credit facilities, storage facilities, crop marketing, finance and availability of information (Mkwezalamba, 1989). While the government has eliminated institutional barriers to entry, scale related barriers still exist. The private market system is dominated by petty traders in terms of number of traders, who do not have adequate resources to make bulk purchase and are intermediate between surplus and deficit areas. These petty traders do not have access to credit facilities and have limited capacity to store merchandise. Most private traders lack adequate transport facilities. As a result most of the petty traders in the rural areas operate from their dwelling units. The transport problem is compounded by the poor road infrastructure in rural Malawi, such that even large private traders with adequate transport facilities find it difficult to access most rural areas in Malawi.

However, the government has made several efforts in promoting the private marketing system. First, since 1996, private traders more or less operate on a *laissez faire* basis. There is no need for licensing of private traders and traders are no longer required to submit monthly statements of their transactions. This effectively eliminated licensing and other transaction costs such as private traders' transport expenses to the licensing office. In reality it was difficult for the government to monitor all private traders' activities and to inspect their measuring instruments.

Second, the Ministry of Agriculture and Livestock Development has been training private traders in general produce marketing, financial management and book keeping. Third, in 1993 the World Bank provided a loan to the government through the Small Enterprise Development Organisation of Malawi (SEDOM) to extend credit to private traders. Nonetheless, poor roads and asymmetric information implies that the markets for agricultural produce will remain highly segmented.

Another development is the extension of credit to farmers by private traders in the form of agricultural inputs such as seeds and fertilisers. This has increased farmers' accessibility to credit facilities.

Liberalisation of marketing activities was expected to trigger farmers' cooperative marketing societies to increase their bargaining power against private traders who offer lower prices. These institutions have not been developed in Malawi. The government is in the process of implementing a cooperatives policy which, among other things, aims at encouraging farmers to form cooperative societies.

### **Concluding remarks**

In essence SAPs were designed to provide incentives for the production of tradeables (mainly tobacco), rationalise government taxes and expenditure, and strengthen key sectors and institutions in ways to realise sustainable macro-economic growth. Traditionally, the World Bank

mainly concentrated on the project financing approach. Chipeta (1996) argues that the shift from the World Bank's project lending, to funding policy reforms, has not enhanced the productive capacity of the poor nations. In fact the gini ratio deteriorated from 0.48 in 1968 to 0.61 in 1995 (Chirwa, 1997b) implying a widening disparity in income distribution and worsening food insecurity.

SAPs have not only failed to alter the structure of production, but economic growth has also been erratic, characterised by a boom and bust performance. As observed by Kaluwa *et al.* (1992), following 1982, the economy regained positive growth but experienced several negative growth rates within the adjustment period. Notably, real gross domestic product fell by 3.3, 7.9 and 12.4% in 1988, 1991 and 1994, respectively. Overall, the performance of the economy in terms of expansion of the national income has worsened in the adjustment period compared to the growth in GDP in the pre-adjustment period. In the pre-adjustment period, the average growth in per capita real gross domestic product was 5.2% per annum but declined to an average rate of 1.5% per annum since structural adjustment programmes were implemented in 1980.

We contend that if food security is to be greatly improved in Malawi, there is a need for the government to institute programmes in four broad areas, all aimed at reducing poverty, thereby increasing household food security. These are: increasing agricultural productivity; instituting an appropriate marketing and pricing policy; improving cash incomes; and establishing programmes for food and cash transfers. Other key requirements are:

- The government has to strengthen its institutional capacity to monitor the activities of private traders and ensure that fair trading practices are followed by private traders. There is a need to effectively inspect the measuring instruments used by private traders.
- There is also a need to enhance the collection of data on private traders' activities in order to guide policy interventions. The data should relate to quantity of produce handled by private traders, investments, producer prices and consumer prices.
- The existing control over the price of maize through a price band has to be maintained in order to cushion the vulnerable households (net food buyers) from the large price fluctuations in private markets.
- Government should, in the medium and long term, improve the road infrastructure in most rural areas. This will facilitate mobility of private traders and accessibility by smallholder farmers in rural areas to private traders.
- Lack of finance emerges as a significant constraint in private traders' activities. The government should ensure that there are adequate credit facilities, with less stringent collateral requirements, available to petty private traders.

## References

- ADMARC (1974) *ADMARC: 10 Years of Progress, 10th Anniversary of Independence*. ADMARC, Blantyre.
- Chilowa, W. R. (1990) *Smallholder Maize Production and Household Food Security in Malawi*. Bwalo book publication, Issue No. 1. Centre for Social Research, Zomba.
- Chilowa, W. R. and Chirwa, E. W. (1997) *The Impact of Structural Adjustment Programmes on Social and Human Development in Malawi*. Bwalo book publication, Issue No. 1. Centre for Social Research, Zomba.
- Chilowa, W. R. and Villegas, P. M. (1997) *Policy, Strategy and Institutional Review for the Sustainable Livelihoods and Food Security Programme*. FAO, Lilongwe.
- Chipeta, C. (1996) An alternative view of SAPs. *Southern Africa Political and Economic Monthly (SAPEM)* 9(12), 9–11.
- Chirwa, E. W. (1997a) Fostering private food marketing and food policies after liberalisation in sub-Saharan Africa:



- the case of Malawi. Paper prepared for the United Nations University/World Institute for Development Economic Research, (UNU/WIDER), draft report.
- Chirwa, E. W. (1997b) State divestiture and private sector development in Malawi: lessons from ADMARC's Divestiture Programme. Paper prepared for presentation at the AERC Biennial Conference on Rekindling Sustainable Development in Africa: Agenda for the 21st Century, Cotonou, Benin.
- Christiansen, R. and Stackhouse, (1989) The privatization of agricultural trading in Malawi. *World Development* 7(5), 729–740.
- Harrigan, J. (1988) Malawi: the impact of pricing policy on smallholder agriculture 1971–1988. *Development Policy Review*, 6.
- Harrigan, J. (1991) Malawi. In *Aid and Power: The World Bank and Policy-based Lending*, eds P. Mosley, J. Harrigan and J. Toye, Vol. 2, Case Studies. Routledge, London.
- Jones, S. (1996) Food markets in developing countries: what do we know? Food Studies Group, Working Paper No. 8, University of Oxford.
- Kaluwa, B. M. (1992) Malawi food marketing: private trader operation and state intervention. In *Food Security Research in Southern Africa: Policy Implications*, eds J. B. Wyckoff and M. Rukuni. Proceedings of the Sixth Annual Conference on Food Security Research in Southern Africa, University of Zimbabwe/Michigan State University Food Security Research Project.
- Kaluwa, B. M., Silumbu, E. B., Ngalande-Banda, E. and Chilowa, W. R. (1992) *The Structural Adjustment Programme in Malawi: A Case of Successful Adjustment?* In SAPES Books Monograph Series No. 3, ed. B. M. Kaluwa.
- Kandoole, B. F., Kaluwa, B. M. and Buccola, S. (1988) Market liberalization and food security in Malawi. In *Southern Africa: Food Security Policy Options*, eds M. Rukuni and R. H. Bernstein. Proceedings of the Third Annual Conference on Food Security Research in Southern Africa, University of Zimbabwe/Michigan State University Food Security Research Project.
- Kydd, J. and Christiansen, R. (1982) Structural change in Malawi since independence: consequences of a development strategy based on large-scale agriculture. *World Development* 10(5), 355–375.
- Kydd, J. and Hewitt, A. (1986) The effectiveness of structural adjustment lending: initial evidence from Malawi. *World Development* 14(3).
- Lele, U. (1987) Structural adjustment, agricultural development and the poor: some observations on Malawi. World Bank Mimeo, Washington, DC.
- Mellor, J. W. (1966) *The Economics of Agricultural Development*. Cornell University Press, Ithaca and London.
- Ministry of Economic Planning and Development (MEPD) (1995) *Economic Report 1995*. Government Printer, Zomba.
- Mkwezalamba, M. (1989) The impact of liberalization of smallholder agricultural produce pricing and marketing in Malawi. Report submitted to Ministry of Agriculture.
- Msukwa, L. A. (1994) Food policy and production: towards increased household food security. Centre for Social Research, University of Malawi, Zomba.
- Nyanda, M. E. (1989) The labour market in Malawi's estate sub-sector. Centre for Social Research, University of Malawi, Zomba.
- Scarborough, V. (1990) Domestic food marketing liberalization in Malawi: a preliminary assessment. ADU Occasional Paper 13, Wye College, University of London.
- UNDP (1996) Human Development Report 1996. New York, Oxford University Press.
- World Bank (1996) *Fiscal Restructuring and Deregulation Programme*. World bank, Washington, DC.

## Appendix

### *Structural adjustment loans and sequencing of agriculture sector reforms in Malawi*

---

|               |                                                                                            |
|---------------|--------------------------------------------------------------------------------------------|
| SAL I (1981)  | <i>Objectives</i>                                                                          |
|               | Diversify export base                                                                      |
|               | Encure appropriate price and incomes policy                                                |
|               | <i>Main actions taken</i>                                                                  |
|               | Annual increases of smallholder produce prices, notably for maize by 68% in 1981/82 season |
| SAL II (1984) | <i>Objectives</i>                                                                          |
|               | Diversify export base                                                                      |
|               | Ensure adequate incentives                                                                 |
|               | <i>Main actions taken</i>                                                                  |
|               | Smallholder producer prices increased using IDA parity pricing                             |



- methodology: 10% increase in maize producer price, 29% increase in tobacco price in 1983/4 season  
Fertiliser prices increased by 21% in 1983/84 season  
ADMARC's financial capability was strengthened
- SAL III (1986) *Objectives*  
Diversify export base  
Promotion of exports  
*Main actions taken*  
Continued adjustment of smallholder prices based on parity pricing: in 1987/88 season producer prices of maize, cotton, rice and tobacco rose by 36, 18, 23 and 10%, respectively  
Postponement of fertiliser subsidy elimination to 1989/90 season  
Divestiture of ADMARC's investments unrelated to marketing activities
- SAL III Supp (1987) *Objectives*  
Expand the role of private sector in marketing of smallholder crops  
Improve financial performance and operational efficiency of ADMARC  
*Main actions taken*  
Legislation of the Agriculture (General Purpose) Act in 1987  
Licensing of private traders in smallholder agricultural produce  
Implementation of intra-regional producer and consumer price of maize  
Government took over, from ADMARC, the financing of strategic grain reserves  
Further divestiture of ADMARC's investments unrelated to marketing activities
- ITPAC (1988) *Objectives*  
(No specific agricultural sector related objective)  
*Main actions taken*  
Decontrol of beef prices  
Reduction of the scope for export licensing
- ASAC (1990) *Objectives*  
Increase efficiency and improve incomes of smallholder farmers  
Increase efficiency of land use and protection of the environment  
*Main actions taken*  
Continued adjustment of smallholder crop prices  
Deregulation of fertiliser marketing  
Reduction of fertiliser economic subsidy  
Rationalisation and government financing of ADMARC's developmental functions  
Smallholder farmers allowed to grow burley tobacco  
Shift to maize research to high-yield flint varieties  
Frequent adjustments of estate land rents
- EDDRP (1992) *Objectives*  
(No specific agricultural related objectives)
- EDDRP Supp (1995) *Main actions taken*

|             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| FRDP (1996) | <p>Expansion of smallholder access to burley tobacco production</p> <p><i>Objectives</i></p> <p>Complete removal of pricing and marketing constraints on smallholder agriculture</p> <p>Removing binding constraints to broad-based private sector entry and development</p> <p><i>Main actions taken</i></p> <p>All constraints on smallholder access to burley tobacco production were lifted</p> <p>Replacement of fixed producer/consumer price system for maize with a price band</p> <p>Removal of licensing and registration procedure for private traders in seed and fertiliser marketing</p> <p>Adjustments in land rents</p> |
|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

---

*Notes:* ITPAC = Industrial and Trade Policy Adjustment Credit, ASAC = Agriculture Sector Adjustment Credit, EDDRP = Entrepreneurship Restructuring and Deregulation Programme, Supp = Supplement

Source: World Bank (1996).